

ISM War Room Strategy — Team Panem

15–16 April 2026 | Derrick Teo | Year 1 Playbook v5

North Star — Year 1

Commit \$600K to the Line factory as early as possible. Everything in Year 1 is subordinated to this single goal. Three phases — EARN, BORROW & BUILD, COMPOUND — are gated on the \$600K Line milestone. Year 2+ topics (Hero derivatives, Attack product, Cell, bilateral trade, container shipping) live in the tactical sections below but are not phase events in Year 1.

Starting Constraint

Starting cash \$549K. Line factory total \$600K (\$100K land + \$500K capex). Cannot build Line on Day 1. Pilot Bench produces ~9–10 units/day. Cell (\$3M) and new DC (\$2.6M) out of reach. Emergency loan 40% APR — avoid.

Core Insight

The lever is NOT organic cash growth. It is: (1) immediate WTP-indexed pricing on existing Bench output, (2) one clean quarter of EBIT to unlock bonds at $\leq 15\%$ APR, (3) Line built from bond proceeds starting Day 95.

Critical Phase 1 discipline: NO advertising and NO extra focus groups before Line construction starts. Bench cannot fulfill ad-driven demand. A single stockout breaks the Bass imitator flywheel permanently.

Year 1 Execution Timeline

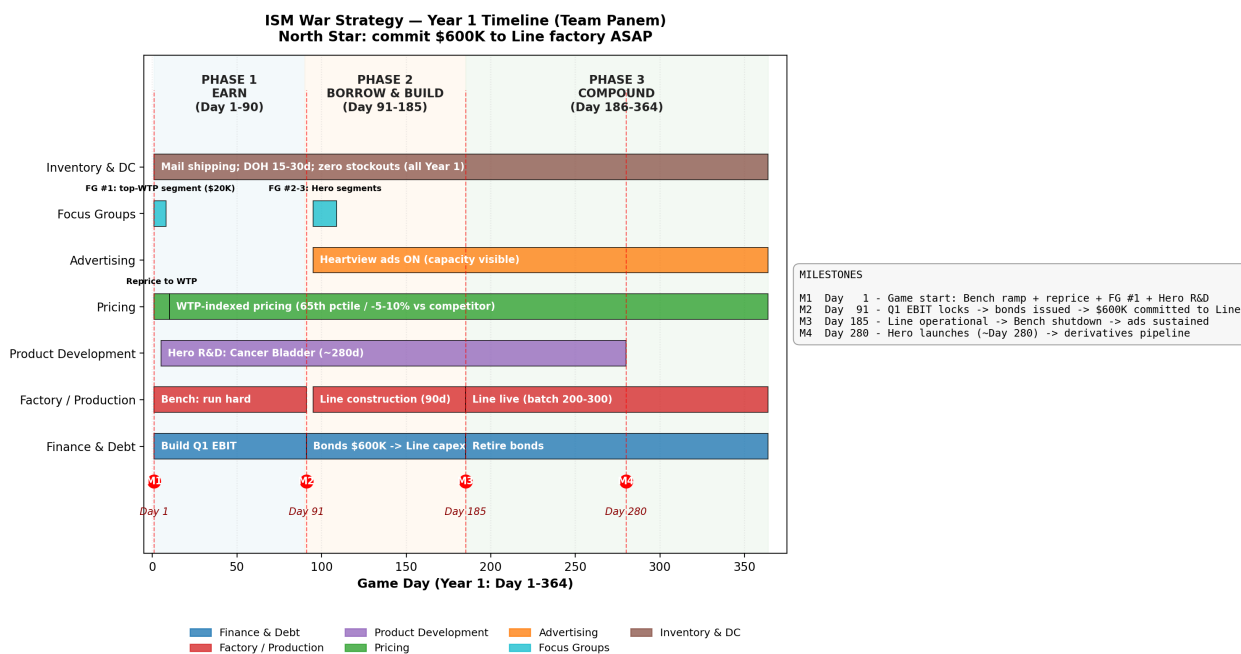


Figure 1. Year 1 timeline across Day 1–364. Three phases gated on the \$600K Line milestone.

Team Roles — One Primary, One Backup

Three symmetric pairs. Each person has one primary role and one named backup. The backup covers if the primary is out and co-owns the work area. Partners resolve disputes laterally — Derrick is pulled in only for pricing or phase-transition calls.

Person	Role	Backup	Owens	Lateral Partners
Derrick Teo	CEO + Pricing	Jack Meng	Pricing calls. Overall strategy. Phase transitions. Scoreboard.	Jack (WTP), Jason (competitor prices), Chris (cash impact)
Jack Meng	Product Dev & Focus Groups	Derrick Teo	New product design, FG scheduling, WTP data, R&D pipeline.	Derrick (WTP), Chris (R&D cost), Shiyuan (feasibility)
Chris Ma	CFO — Finance	Jason Weng	Cash runway, bonds, tax, debt model, capex approval, DSO.	Shiyuan (capex), Jason (DSO), Jack (R&D cost)
Jason Weng	Competitor + Shipping Agreements	Chris Ma	Daily competitor intel. Bilateral trade contracts.	Derrick (price signals), Yohei (competitor stockouts), Chris (DSO)
Shiyuan Tian	COO — Production	Yohei Nakadate	Factory K/L, batch size, idle-time, unit cost, upgrade timing.	Yohei (throughput), Chris (capex), Jack (feasibility)

Yohei Nakadate	Inventory & Supply Chain	Shiyuan Tian	DOH targets, ROPs, mail vs container, stockout watch.	Shiyuan (production), Jason (competitor stockouts)
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Symmetric pairs (covers for each other): Derrick $\rightleftharpoons$ Jack • Chris $\rightleftharpoons$ Jason • Shiyuan $\rightleftharpoons$ Yohei

Lateral Resolution — How Disputes Get Solved

Default rule: resolve between partners without going to Derrick. Derrick is pulled in only for pricing calls or phase transitions.

- **Batch size / ROP:** Shiyuan + Yohei decide. Yohei owns stockout risk.
- **Capex timing:** Shiyuan + Chris decide against cash constraint.
- **DSO on a new agreement:** Jason + Chris decide against WC ratio.
- **New product feasibility:** Jack + Shiyuan + Chris. Final proposal to Derrick.
- **Stockout emergency:** Yohei pulls brake → Shiyuan reprioritizes. No approval needed.
- **Ad spend envelope:** Chris + Derrick set at phase transitions. Jack executes.
- **Competitor price reaction:** Jason flags → Derrick reprices (pricing = Derrick).
- **Pricing logic or phase transition:** Derrick decides. Partners provide data.

Daily Operating Cadence

- Start of session (10 min): Chris = cash/EBIT/runway. Jason = competitor moves. Yohei = stockout risk.
- During play: Derrick reprices. Shiyuan runs factory. Yohei adjusts ROPs. Jack briefs Derrick when FG data lands.
- End of quarter: Chris posts tax reserve + debt issuance. 10-min retro.

PHASE 1 — EARN (Day 1–90)

Goal: Generate Q1 EBIT to unlock cheap bonds at Day 91. Nothing else matters in Phase 1.

Day 1 — Parallel Moves

- Shiyuan: crank Bench daily L. Batch ~100. Never drop L near \$0.
- Derrick: reprice Heart Monitor to best-known WTP immediately.
- Jack: fire ONE focus group (\$20K) on highest-WTP reachable segment. Results Day 8.
- Jack: start Hero R&D (Cancer Bladder, ~280 days).
- Chris: open Debt Model. Project Q1 EBIT. Find threshold for Excellent (20×) vs Good (7×).
- Jason: baseline all competitors — product, price, DC, capacity. Log daily.
- Yohei: ROP > 0 on all agreements. Mail shipping. DOH 15–30 days. Watch Inventory Status daily.

Day 8–90 — Execute

- Derrick: reprice precisely once FG #1 data lands (Day 8). Own market = 65th pctile WTP. Contested = 5–10% below competitor median.
- Yohei: DOH 15–30. Zero stockouts. Same-region shipping only.
- NO advertising. NO more focus groups. NO dividends. NO new DC or factory.
- Chris: daily cash runway. Cash $\geq$ (quarterly tax + 1 month opex). WC ratio $\geq$ 1.0.
- Jason: flag any competitor Line build — their capacity lands +90 days from their start.

PHASE 2 — BORROW & BUILD (Day 91–185)

Goal: Issue bonds. Build the Line. Turn ads on.

- Day 91 — Q1 EBIT locks. Chris confirms rating. Target Excellent (10%) or Good (15%).
- Day 91–95 — Chris issues bonds. \$600K minimum (Line); \$1M if R&D/WC buffer needed.
- Day 95 — Shiyuan starts Line construction (\$500K K + \$100K land, 90 days to operational).
- Day 95 — Derrick + Jack turn Heartview ads ON (\$500/day baseline).
- Day 95–185 — Bench continues. Clone shipping agreements to the future Line.
- Day 95–185 — Jack fires FG #2 and #3 on Hero derivative segments.

PHASE 3 — COMPOUND (Day 186–364)

Goal: Line live. Cash compounds. Retire bonds. Hero launches.

- Day 185–190 — Line operational. Batch 200–300. Bench shutdown scheduled ~10 days after first Line batch.
- Day ~280 — Hero (Cancer Bladder) launches. Begin Hero derivative designs for adjacent high-WTP segments.
- Chris: begin bond retirement from retained earnings. Maintain interest coverage $> 7\times$.
- Jason: evaluate opening bilateral trade with allies once Hero exists.
- Yohei: keep mail shipping throughout Year 1 (container era is Year 2+ when throughput $\geq 150/d$).
- Jack + Shiyuan: evaluate Attack product R&D (Military/Serenity) if Hero on schedule.

Pricing & Advertising Rules

- **Own / uncontested market:** Price at 65th percentile of segment WTP.
- **Contested market:** Price 5–10% below competitor median. Advertise to capture imitator share.
- **Heartview ads:** OFF until Day 95. Then sustained. Taper when A/M $> 80\%$.
- **Ad spend math:** \$500/day $\approx$ +1p innovator rate. NEVER advertise without fulfillment capacity.
- **Never cost-plus:** Cost sets walk-away floor only.

Finance — Debt & Capital Allocation

- **Target APR:** ≤15% (Excellent or Good). 40% emergency = failure.
- **Rating tiers:** Excellent ≥20× (10%). Good ≥7× (15%). Poor ≥2× (25%). Coverage = yearly EBIT / total interest.
- **Issuance timing:** Day 91 post-Q1. Engineer EBIT up BEFORE issuance.
- **364-day compounding:** $EAR = (1 + APR/364)^{364} - 1$.
- **Year 1 CAPEX order:** (1) Line \$600K → (2) ads post-Day-95 → (3) Hero R&D → (4) bond retirement. Everything else waits.
- **WC float:** Materials 30d, others 15d. ≈\$100–150K free float.
- **No dividends Year 1:** Dividends 6.5% after-tax < 10–15% bond APR. Retire debt first.

Year 2+ Tactics (parked, not Year 1 phases)

These are tactical playbooks for post-Day-364 execution. Do not pursue in Year 1 unless the \$600K Line milestone is already locked and cash allows.

- **Hero derivatives:** Target ADJACENT segments, not same-segment-same-region (cannibalization). Cheaper R&D, faster launch.
- **Attack product:** Military / Serenity. Botulinum / anatoxin-a / sarin / cyclosarin. Only exists in military region.
- **Container shipping:** Trigger: throughput ≥150/d AND batch 500–1500. DOH 28–35d. \$5K/\$10K per container, up to 1,000 units.
- **Bilateral trade:** Once Hero range exists. Price 2–5% below ally median WTP. Half-CM split. Early: batch 20 / ROP 20 mail. Mid: batch 50–80 / ROP 50–80.
- **Buying from Cell:** Once any team has Cell, buy cheaper than our Line makes. Jason + Shiyuan MUST know MOH formula.
- **Cell factory:** \$3M K. Evaluate only after fresh bondable capacity supports it.
- **Feature discipline:** Never put Hero features into a lower-WTP product — cannibalizes Hero margin.

Quick Reference — Key Numbers

Item	Value
Starting cash	\$549K
Line factory total	\$600K (\$100K land + \$500K capex)
DC total	\$2.6M + \$2K/day + fulfillment
Sales commission (retailer)	20%
Handling (retailer)	\$10/unit
Mail same-region (we pay)	\$200/shipment (10 units)
Mail inter-region	\$400/shipment
Container same-region	\$5K / 1,000 units / 7d
Container inter-region	\$10K / 21d
Innovator rate p	0.0002

Imitator rate q	0.0035 ($\approx 17 \times p$)
Ads: +1p cost	\$500/day
Emergency loan	40% APR (AVOID)
Bond tiers	10% @ 20 $\times$ / 15% @ 7 $\times$ / 25% @ 2 $\times$
Tax rate	35% $\times$ quarterly op income
Compounding base	364 days/year
Q1 / Q4 / Q12	Day 91 / 364 / 1,092
Bench	$A=0.009$, $\alpha=0.10$, $\beta=0.85$, setup 0.05d
Line	$A=0.010$, $\alpha=0.30$, $\beta=0.75$, setup 0.50d, $K \geq \$500K$
Cell (Year 2+)	$A=0.020$, $\alpha=0.80$, $\beta=0.30$, setup 1.0d, $K \geq \$3M$
Post-tax CM	(price – MOH – W3 – price-comm) $\times$ (1-tax), W3 = materials + shipping + handling

Traps to Avoid

- Advertising before Line construction starts — Bench stockout breaks Bass flywheel permanently.
- Burning \$60K on three FGs Day 1 — one is enough for Phase 1.
- 40% emergency loan — always a planning failure.
- DC in Year 1 — \$2.6M kills the bond story.
- Inter-region shipping in Phase 1 — 2 $\times$ cost, no upside yet.
- Same-segment same-region cannibalization.
- Dropping Bench L to "save cash" — factory locks; can brick.
- Bonds before Q1 EBIT registers — rating stuck at Poor (25%).
- Dividends in Year 1 — negative carry vs bond APR.
- Advertising a saturated market ($A/M > 80\%$).
- Hero features in a low-WTP product.
- Shipping agreements without MOH formula in hand.
- Routing every dispute through Derrick — use lateral partners.

Open Decisions for Team

- Region — Metropolis (large + 4 military) vs non-military?
- FG #1 target — Cancer Bladder (highest WTP) or Clinical Cardio (larger market)?
- Bond sizing Day 91 — \$600K (Line only) vs \$1M (Line + R&D buffer)?
- Ad budget post-Day-95 — \$500/day or \$1,000/day?
- Role acknowledgement — each owner + backup explicitly accepts before Day 1?

Scoreboard — What We Optimize

Final rank = Return to Investors, Retained Earnings, Cash Position.

- Return to Investors = cash – debt + dividends paid + after-tax return on dividends distributed

- Retained Earnings = sum of net earnings – dividends declared
- Cash Position = cash – emergency loan

Bonds temporarily depress Return to Investors but unlock Line throughput that grows all three after retirement.